

you buy a share of Amazon, you actually become part owner of Amazon—but relax; there are currently 500 million shares of Amazon, so you would only own $1/500,000,000^{\text{th}}$ of the company.

The following are some real-life examples of how investing in individual stocks can make or break you financially.

Let's say you are a twenty-year-old in 1997 who loves books. There is a new company out there that will deliver books to your home through the mail. This is fantastic news for you, because it has a huge selection and now you can find many books that you have wanted for years. You also learn that this company is public, which means you can buy shares of its stock. You think this company could be a good investment, so you decide to buy \$2,000 worth of its stock. In July 1997, this company's stock only costs \$2 per share, so your \$2,000 buys you 1,000 shares. Congratulations—the little book-delivery company you invested in is called Amazon, and it turns out it will become a giant company. In 2020, the stock is trading (being bought and sold) for \$3,000 a share. Because you have 1,000 shares, this means your total shares are now worth \$3 million. So you put \$2,000 into a company, and just over 20 years later, that \$2,000 has turned into \$3 million. Figure 8.1 illustrates your incredible investment.